TRADING BLOCS AND REGIONAL INTEGRATION

Learning Outcome

- explain motivations for and advantages of trading blocs, common markets, and economic unions

There has been a proliferation of trading blocs or regional trading agreements (RTA) in recent years. Important examples of regional integration include the United States-Mexico-Canada Agreement (USMCA) and the European Union (EU). A regional trading bloc is a group of countries that have signed an agreement to reduce and progressively eliminate barriers to trade and movement of factors of production among the members of the bloc. It may or may not have common trade barriers against countries that are not members of the bloc.

Types Of Trading Blocs

There are many different types of regional trading blocs, depending on the level of integration that takes place. **Free trade areas** (FTA) are one of the most prevalent forms of regional integration in which all barriers to the flow of goods and services among members have been eliminated. However, each country maintains its own polices against non-members. The USMCA among the United States, Canada, and Mexico is an example of an FTA. A **customs union** extends the FTA by not only allowing free movement of goods and services among members but also by creating a common trade policy against non-members. In 1947, Belgium, the Netherlands, and Luxemburg (Benelux) formed a customs union that became part of the European Community in 1958.

The **common market** is the next level of economic integration that incorporates all aspects of the customs union and extends it by allowing free movement of factors of production among members. The Southern Cone Common Market (MERCOSUR) of Argentina, Brazil, Paraguay, and Uruguay is an example of a common market. An **economic union** requires an even greater degree of integration. It incorporates all aspects of a common market and in addition requires common economic institutions and coordination of economic policies among members. The European Community became the European Union in 1993. If the members of the economic union decide to adopt a common currency, then it is also a **monetary union**. For example, with the adoption of the euro, 19 EU member countries also formed a monetary union.

EXAMPLE 3

Trading Blocs

1. Chile and Australia have a free trade with each other but have separate trade barriers on imports from other countries. Chile and Australia are a part of a(n):

   A. FTA.
   B. economic union.
   C. customs union.
   D. common market.

   Hide Solution

   Solution:

   A is correct. Chile and Australia do not a have customs union because they do not have a common trade policy with respect to other trade partners (C is incorrect). A common market or an economic union entail even more integration (B and D are incorrect).

2. An RTA that removes all tariffs on imports from member countries, and has common external tariffs against all non-members, but does not advance further in deepening economic integration is called a(n):

   A. FTA.
   B. economic union.
   C. customs union.
   D. common market.

   Hide Solution

   Solution:

   C is correct. A basic FTA does not entail common external tariffs (A is incorrect), whereas a common market and an economic union entail integration beyond common external tariffs (B and D are incorrect).

Regional Integration

between nations and where member countries can sort out trade disputes. Trade negotiations launched by the WTO have included contentious issues of specific concern to developing countries, such as the cost of implementing trade policy reform in developing countries, market access in developed countries for developing countries' agricultural products, and access to affordable pharmaceuticals in developing countries. Despite decades of negotiations, limited progress has been made on these and other major issues. Hence, it is not surprising to see a renewed interest in bilateral and multilateral trade liberalization on a smaller scale. Policy coordination and harmonization are also easier among a smaller group of countries. Regional integration can be viewed as a movement toward freer trade.

Regional integration results in preferential treatment for members compared with non-members and can lead to changes in the patterns of trade. Member countries move toward freer trade by eliminating or reducing trade barriers against each other, leading to a more efficient allocation of resources. Regional integration also may result in trade and production being shifted from a lower-cost non-member who still faces trade barriers to a higher-cost member who faces no trade barriers. This shift leads to a less-efficient allocation of resources and could reduce welfare. Hence, two static effects are direct results of the formation of the customs union: trade creation and trade diversion.

Trade Creation and Diversion

Trade creation occurs when regional integration results in the replacement of higher-cost domestic production by lower-cost imports from other members. For example, consider two hypothetical countries, Qualor and Vulcan. Qualor produces 10 million shirts annually and imports 2 million shirts from Vulcan, which has a lower cost of production. Qualor has 10 percent tariffs on imports from Vulcan. Qualor and Vulcan then agree to form a customs union. Qualor reduces its production of shirts to 7 million and now imports 11 million shirts from Vulcan. The decline in Qualor's domestic production (from 10 million to 7 million shirts) is replaced by importing 3 million additional shirts from the low-cost producer, Vulcan. This scenario represents trade creation. The rest of the additional imports (6 million shirts) represents increased consumption by Qualor's consumers because the price of shirts declines after formation of the custom union.

Trade diversion occurs when lower-cost imports from non-member countries are replaced with higher-cost imports from members. In the previous example, suppose Qualor initially imposes a 10 percent tariff on imports from both Vulcan and Aurelia. Aurelia is the lowest-cost producer of shirts, so Qualor initially imports 2 million shirts from Aurelia instead of from Vulcan. Qualor and Vulcan then form a customs union, which eliminates tariffs on imports from Vulcan but maintains a 10 percent tariff on imports from Aurelia. Now trade diversion could occur if the free trade price on imports from Vulcan is lower than the price on imports from Aurelia. Even though Aurelia is the lowest-cost producer, it may be a higher-priced source of imports because of the tariff. If this is the case, then Qualor will stop importing from Aurelia, a non-member, and divert its imports to Vulcan, a member of the RTA. Both trade creation and trade diversion are possible in an RTA. If trade creation is larger than trade diversion, then the net welfare effect is positive. There are concerns, however, that this may not always be the case.

Costs and Benefits of Regional Trading Blocs

The benefits ascribed to free trade—greater specialization according to comparative advantage, reduction in monopoly power because of foreign competition, economies of scale from larger market size, learning by doing, technology transfer, knowledge spillovers, greater foreign investment, and better quality intermediate inputs at world prices—also apply to regional trading blocs. In addition, fostering greater interdependence among members of the regional trading bloc reduces the potential for conflict. Members of the bloc also have greater bargaining power and political clout in the global economy by acting together instead of as individual countries.

Considerable spillover of growth across borders is evident among member countries of the Organisation for Economic Co-operation and Development (OECD), which are highly integrated both as a group and within their own geographic regions. The long-run growth of integrated countries is interconnected because members have greater access to each other's markets. Strong growth in any RTA country could have a positive impact on growth in other RTA member countries. RTAs also enhance the benefits of good policy and lead to convergence in living standards. For example, growth spillovers are likely to be much smaller among Sub-Saharan African countries because of a lack of integration arising from deficiencies in RTAs and inadequate levels of transportation and telecommunications infrastructure. One study estimated what the cumulative loss in real GDP between 1970 and 2000 would have been if Switzerland, which is landlocked and fully integrated with both its immediate neighbors and the world economy, had been subject to the same level of spillovers as the Central African Republic. Under such a scenario, Switzerland's GDP per capita in 2000 would have been 9.3 percent lower. The cumulative GDP loss would have been USD334 billion (constant US dollars, 2000), which was the equivalent of 162 percent of Switzerland's real GDP in 2000.

Although regional integration has many advantages, it may impose costs on some groups. For example, there was significant concern in the United States that fewer trade restrictions and especially low-skilled labor-intensive imports from Mexico could hurt low-skilled workers. Adjustment costs arose as import competition caused inefficient firms to exit the market, and the workers in those firms were at least temporarily unemployed as they sought new jobs. However, the surviving firms experienced an increase in productivity, and US consumers benefited from the increase in product varieties imported from Mexico. One study estimated that the product varieties exported from Mexico to the United States had grown by an

more varieties of products continued over time as long as the imports continued, whereas adjustment costs arising from job losses declined over time. In 2003, the gain from increased product varieties from Mexico was USD11 billion, far exceeding the adjustment costs of USD5.4 billion.

It is important to recognize, however, that workers displaced by regional integration may have to bear long-term losses if they are unable to find jobs with wages comparable with the jobs they lost or they remain unemployed for a long period of time. For example, although import competition was certainly not the only factor that led to a dramatic contraction of the US automobile industry, the impact on employment in that industry is likely to be permanent and many former autoworkers, especially older workers, may never find comparable jobs.

Concerns regarding national sovereignty, especially where big and small nations may be part of the same bloc, also have been an impediment to the formation of FTAs. The proposal for a South Asian regional bloc has faced challenges regarding India's role because it is one of the biggest economies in the region.

Challenges to Deeper Integration

The formation of an RTA and its potential progression from an FTA to deeper integration in the form of a customs union, common market, or economic union face at least two challenges. First, cultural differences and historical considerations—for example, wars and conflicts—may complicate the social and political process of integration. Second, maintaining a high degree of economic integration limits the extent to which member countries can pursue independent economic and social policies. Free trade and mobility of labor and capital tend to thwart policies aimed at controlling relative prices or quantities within a country, while balance-of-payments and fiscal credibility considerations limit the viability of divergent macroeconomic policies. This situation is especially true in the case of a monetary union because monetary policy is not under the control of individual countries and currency devaluation or revaluation is not available as a tool to correct persistent imbalances. When persistent imbalances do arise, they may lead to a crisis that spills over to other countries facing similar problems. The Greek fiscal crisis in 2010 is a case in point. In May 2010, Standard & Poor's reduced the credit ratings on Greece's government from investment grade to junk status. It also downgraded the government debt of Spain and Portugal. These countries were suffering from a combination of high government deficits and slow GDP growth. The credit downgrades increased fears that Greece, in particular, would default on its debt and cause economic turmoil not only among the healthier countries in the EU but also in the United States and Asia. The EU and the International Monetary Fund (IMF) agreed on a USD145 billion (EUR110 billion) bailout for Greece in May 2010 and provided Ireland with a financing package of about USD113 billion (EUR85 billion) in November 2010.

Investment Implications

Regional integration is important from an investment perspective because it offers new opportunities for trade and investment. The cost of doing business in a large, single, regional market is lower and firms can benefit from economies of scale. Note, however, that differences in tastes, culture, and competitive conditions still exist among members of a trading bloc. These differences may limit the potential benefits from investments within the bloc. In addition, depending on the level of integration and the safeguards in place, problems faced by individual member countries in an RTA may quickly spread to other countries in the bloc.

Question Set

Bagopia, Cropland, and Technopia decide to enter into an RTA. In the first stage, they decide to sign an FTA. After several successful years, they decide that it is time to form a common market.

1. Does an FTA make exporting firms in member countries more attractive as investment options?

Hide Solution

Solution:

The first stage, where there is free movement of goods and services among RTA members, is called an FTA. It makes exporting firms a more attractive investment proposition because they are able to serve markets in member countries without the additional costs imposed by trade barriers.

2. How does the common market affect firms doing business in these countries compared with an FTA?

Hide Solution

Solution:

Unlike an FTA, a common market allows for free movement of factors of production, such as labor and capital, among the member economies. Like an FTA, it provides access to a much larger market and free movement of goods and services. But the common market can create more profitable opportunities for firms than an FTA by allowing them to locate production in and

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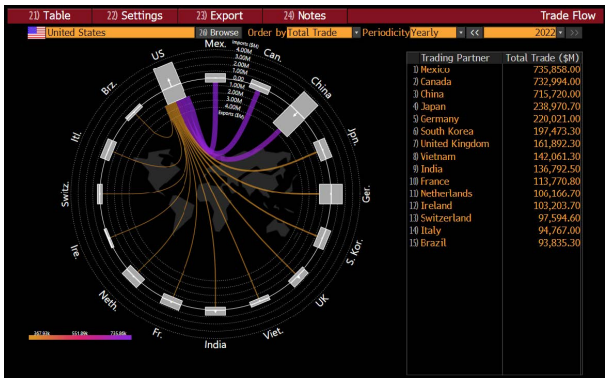

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